Below the New VAT Threshold? Do Not Change Anything Yet.

Six commercial questions to work through with a registered tax practitioner

From 1 April 2026, the compulsory VAT-registration threshold increased to R2.3 million. That gives many existing VAT vendors a reason to review their position. It does not mean they should stop charging VAT. The business first needs to understand the effect on customers, prices, costs, cash and future growth. A registered tax practitioner should then confirm the tax position before management applies or changes anything.

JULY 2026 • EDUCATIONAL SME FINANCE REPORT

General business and financial education only. Obtain advice from a SARS-registered tax practitioner before acting.

Executive Summary

The administrative saving is rarely the whole decision

From 1 April 2026, the compulsory threshold is R2.3 million and the voluntary threshold is R120,000, subject to the applicable requirements. A business below the new compulsory threshold may have a choice. The value of that choice depends on customers, pricing, VAT-bearing costs, cash consequences and how likely the business is to grow back into compulsory registration.

The central decision question

Do not begin with “How much will we save on VAT administration?” Begin with “What will change for customers, true margin, cash and the growth path - and what has the practitioner confirmed?”

- Being below R2.3 million is a review trigger, not an instruction to deregister.
- B2B customers that recover VAT may receive little or no price benefit from a change.
- Consumer-facing businesses may have a stronger pricing case, but only after input costs are included.
- Stock, equipment, property and unresolved prior-period items can create a cash question that requires professional calculation.
- Growth, contracts and seasonality should be tested over at least the next 18 to 24 months before management decides.

Management owns the customer, pricing, margin, cash and growth analysis. A SARS-registered tax practitioner confirms eligibility, historic compliance, tax treatment, process and timing. SARS determines the cancellation and effective date.

DECISION PRINCIPLE	A change in threshold creates a choice. It does not create an automatic answer.

REPORT INDEX

Contents

A guide to the commercial questions, VAT review framework and management decision record contained in this report.

Page numbers refer to the published report sequence, including this contents page.

MAIN ARTICLE

Below the New VAT Threshold? Do Not Change Anything Yet.

What the threshold change does - and does not do

The new threshold changes when compulsory registration may apply. It does not cancel an existing registration, settle historic compliance, determine the treatment of assets or authorise a business to alter invoices and returns.

1 Read the threshold in the correct context

TERM	WHAT MANAGEMENT SHOULD UNDERSTAND
Taxable supplies	The supplies included when the registration requirements are tested. Your practitioner should confirm what belongs in the calculation.
Compulsory threshold	SARS states R2.3 million in any consecutive 12-month period from 1 April 2026.
Voluntary registration	Voluntary registration from R120,000 remains possible below the compulsory threshold, subject to the applicable requirements.
Cancellation	An application and formal SARS process. It is not automatic when turnover falls below the threshold.
Input VAT exposure	VAT currently recovered on operating and capital purchases that may become part of business cost if registration ends.
Final tax period	The period and adjustments SARS and the practitioner must confirm before the registration is closed.

The safe review sequence

MEASURE Turnover, customers, costs and assets.	**MODEL** Price, margin, cash and growth.
CONFIRM The practitioner reviews the tax position.	**IMPLEMENT** Only after the formal outcome.

SCOPE AND AI BOUNDARY	This report does not determine eligibility, classify transactions or assets, calculate a VAT liability, complete a return or represent a taxpayer. AI may organise records and flag missing information, but it should not reach the tax conclusion or replace a registered practitioner.

2 Build the fact base before you form an opinion

A year-end turnover figure is not enough. The decision should be based on a rolling view of taxable supplies, a credible revenue outlook and the commercial structure of the business. Management should prepare evidence that can be traced to accounting records, contracts and operational schedules.

01 TURNOVER HISTORY Prepare monthly taxable-supply information for at least the current and prior 12 months.	**02 REVENUE OUTLOOK** Add signed contracts, recurring revenue, price increases, pipeline and known losses.
03 CUSTOMER MIX Separate VAT-registered businesses, final consumers, exempt bodies, tenders, onboarding rules and special contract terms.	**04 COST AND ASSET MAP** Identify VAT-bearing operating costs, stock, equipment, property and other material items.

Signals that a quick decision would be weak

REVIEW SIGNAL	WHY IT NEEDS MORE WORK
Turnover is close to R2.3 million	A single contract, price change or strong month may move the position. Use a rolling forecast.
Revenue is seasonal or project-based	A low year-end number may hide a higher consecutive 12-month period.
The business is asset- or stock-heavy	The possible final-period cash effect may be material and fact-specific.
Management is focused only on compliance cost	Customer pricing, lost input VAT and future growth may be more important than filing effort.

HISTORIC COMPLIANCE	The higher threshold does not cure an earlier registration, return, invoice, payment or supporting-document problem. Include prior-period questions in the professional review.

THE SIX COMMERCIAL QUESTIONS

Six Questions Before a Tax Review

The purpose is not to reach a tax conclusion. It is to give the owner and practitioner a complete commercial case, rather than a narrow request to save administration.

01 THE CUSTOMER QUESTION

Who recovers VAT, who pays the full VAT-inclusive price, and which customers or tenders expect a VAT vendor?

02 THE PRICE QUESTION

Would prices remain unchanged, reduce or be renegotiated? Which option is credible in the market? Do not assume that removing VAT automatically creates extra margin.

03 THE MARGIN QUESTION

How much VAT-bearing expenditure sits in rent, stock, equipment, software, professional fees and other operating or capital costs that may become unrecoverable?

04 THE CASH QUESTION

What stock, assets, property, rights or prior-period matters must the practitioner quantify before management can fund the transition?

05 **THE GROWTH QUESTION**

Could signed work, pipeline, price increases or seasonality move the business back toward compulsory registration?

06 **THE CONTROL QUESTION**

What must change in quotations, contracts, invoices, systems, customer communication, cash forecasts and monthly monitoring?

PRACTICAL SME PROFILES

Similar Turnover Can Produce Different Business Answers

Customer mix, cost structure and growth horizon matter more than the threshold alone. These profiles are illustrative management scenarios, not tax conclusions.

Profile A: B2B installer with stock and a strong pipeline

COMMERCIAL FACTOR	WHAT MANAGEMENT SEES	DECISION IMPLICATION
Customer base	Most customers are VAT-registered businesses	Customers may focus on the net cost and valid tax invoice rather than a lower gross price.
Cost profile	Stock, subcontractors, vehicles and equipment carry VAT	Lost input VAT may materially weaken the margin.
Pricing position	Contracts, tenders and onboarding rules influence price and vendor status	Commercial access may matter as much as administration; removing VAT may not create a durable pricing advantage.
Growth outlook	A signed project could move turnover above the threshold	A short period outside VAT may add re-registration and system disruption.
Management signal	Do not assume deregistration is beneficial	Model margin, transition cash and growth before requesting a formal conclusion.

Commercial reading: the apparent administrative saving may be small relative to margin, tender, working-capital and growth effects.

Profile B: Consumer-facing service business with limited inputs

COMMERCIAL FACTOR	WHAT MANAGEMENT SEES	DECISION IMPLICATION
Customer base	Most customers are final consumers	The VAT-inclusive price is directly visible and may affect demand.
Cost profile	Modest VAT-bearing inputs and limited stock or equipment	Unrecoverable cost may be limited, but final-period treatment of remaining assets still needs practitioner review.
Pricing position	Management can test lower prices or retain part of the difference	The owner needs a clear price and margin strategy, not an automatic assumption.
Growth outlook	Revenue is stable and comfortably below the threshold	The commercial benefit may last longer, subject to professional review.
Management signal	A structured review may be worthwhile	Commercial potential may be stronger, but records and transition cash still need practitioner confirmation.

Commercial reading: the pricing case may be stronger, but management should still test costs, cash, growth and implementation before acting.

POTENTIAL TAX AND CASH CONSEQUENCES

Potential Tax Costs Belong in the Cash Forecast

An administrative saving can be preceded by a tax and cash consequence

Cancellation can bring retained enterprise stock, assets, property and rights into the final VAT calculation. SARS guidance explains that certain goods or rights retained when a vendor deregisters are deemed supplied immediately before the person ceases to be a vendor, subject to exceptions. The actual treatment, value and timing depend on the records and current law. Management should prepare the evidence; a registered tax practitioner should classify the items and calculate the amount.

MANAGEMENT SHOULD PREPARE

A fixed-asset register, stock listing, purchase documents, property and lease information, major creditors and debtors, and details of mixed, private or exempt use.

THE PRACTITIONER SHOULD DETERMINE

What belongs in the final period, the appropriate valuation and adjustments, restrictions or deductions, filing treatment and payment timing.

Questions for the tax and cash review

QUESTION	WHY IT MATTERS
What stock and business assets are on hand?	They may affect the final VAT position and the cash required.
Was input VAT claimed on those items?	The historical treatment can change the practitioner’s conclusion.
Is there mixed, private or exempt use?	Apportionment or other adjustments may be relevant.
Are property, leases or rights involved?	Specialist rules may apply and require supporting documents.
Are supplier, debtor or prior-period items unresolved?	Final-period adjustments and historic corrections may be required.

QUESTION	WHY IT MATTERS
What amount is due, when, and from which cash source?	The confirmed payment profile must fit the working-capital forecast.

CASH-PLANNING DISCIPLINE	Keep a provisional reserve in the forecast until the practitioner has completed a documented calculation. Do not use a generic online calculator or a percentage of assets as the decision amount.

3 Put the full economic effect in one forecast

Management can estimate the commercial scenarios, but tax-sensitive items require practitioner review. Keep the numbers separate until the professional conclusion is available, then combine them in the cash forecast.

NUMBER	WHAT IT SHOULD SHOW
Expected annual price and volume effect	The realistic commercial gain or loss after customer response.
Annual increase in unrecoverable VAT-bearing cost	The effect on gross margin, operating profit and capital spending.
Practitioner-confirmed transition cash and low point	The amount, payment timing, funding source and lowest cash point, with a prudent reserve for uncertainty.
18- to 24-month outlook and net benefit	How long the business may remain below the threshold and whether the gain remains material after disruption and likely re-registration.

DECISION GATE	Proceed only when the commercial benefit, downside, funding source and likely duration are clear, and the practitioner has confirmed the tax position in writing.

DECISION PACK AND FORMAL CONTROL

Prepare the Decision Pack, Then Follow the Formal Process

Good advice depends on good records and a clear management question. A practitioner cannot confirm the position from a turnover total alone.

BUSINESS MATERIALS

- Monthly turnover and source reports
- Customer segmentation and pricing options
- VAT-bearing operating and capital cost map
- Stock, asset, property and contract records
- 18- to 24-month forecast and cash reserve

PRACTITIONER CONFIRMATION

- Eligibility and the correct legal basis
- Historic compliance and corrections
- Final-period and asset treatment
- Required documents and submissions
- Effective date, final tax period, when invoicing and returns may change, and continuing obligations

MANAGEMENT DECISION

- Compare the credible commercial scenarios
- Insert confirmed cash effects
- Select the funding and transition plan
- Assign owners and review triggers
- Record the decision and conditions

NON-NEGOTIABLE CONTROL	Continue the current VAT treatment until SARS has confirmed the cancellation, effective date and final tax period. Do not alter quotations, invoices, returns or customer documents merely because management has decided to investigate.

Three credible management outcomes

- REMAIN REGISTERED: the commercial value of registration, input VAT recovery or growth path outweighs the administrative saving; strengthen compliance and input-tax evidence.
- APPLY AFTER ADVICE: the business has a durable commercial case, confirmed tax treatment, adequate cash and a controlled implementation plan.
- DEFER AND REVIEW: the position is too close to the threshold, the cash effect is unclear, growth is likely or records need correction.

AI can organise source data, reconcile schedules, compare management scenarios and highlight missing documents. It should not determine the tax conclusion or replace professional and management responsibility.

CLOSING PERSPECTIVE

The Threshold Creates a Choice. The Business Still Needs a Decision.

The strongest commercial case is usually found where final consumers carry the VAT-inclusive price, VAT-bearing inputs are modest, the transition cash is manageable and turnover is likely to remain below the threshold. The weakest case is usually the opposite. Neither pattern is a tax conclusion. It is the management case to place before a registered practitioner.

The bottom line

Do not start with the cost of VAT returns. Start with customers, true margin, cash and the growth horizon. Then obtain a written professional conclusion and wait for the formal SARS outcome before changing anything.

Related reading

Can Your Business Afford to Grow? A financial decision framework for growth commitments.

The 13-Week Cash Flow Forecast Every SME Should Run. A weekly view of the cash low point and funding requirement.

Our full-length articles and downloadable PDF reports are available on the Carron Business Advisory Insights page:

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IMPORTANT NOTICE	This report provides general business and financial education. It does not constitute tax or legal advice and does not consider the circumstances of a particular taxpayer. VAT registration and cancellation can involve fact-specific eligibility, valuation, adjustment, documentary, timing and cash-flow consequences. Obtain advice from a SARS-registered tax practitioner before applying or acting.

PRACTICAL TOOL

VAT Registration Review Record

Complete this before management decides whether to remain registered, apply after professional advice, or defer the review.

Use this record to document the commercial case, the matters referred to the practitioner and the final management decision. Attach the professional advice, calculations and supporting schedules separately.

BUSINESS	DECISION SPONSOR	REGISTERED TAX PRACTITIONER	REVIEW DATE

ROLLING TAXABLE SUPPLIES	18-24 MONTH OUTLOOK	NEXT REVIEW TRIGGER

COMMERCIAL PURPOSE
What business problem would a change solve, and why is the benefit expected to be durable?

CUSTOMER AND PRICE CASE
Which customers recover VAT, and what credible price, margin, tender or contract changes are expected?

COST, CASH AND ASSET CASE
Which VAT-bearing costs may become unrecoverable, what stock, assets, property, rights or prior-period matters were referred, and what transition cash has the practitioner confirmed?

GROWTH AND CONTROL CASE
What events could require re-registration, and who will monitor turnover, contracts and invoicing?

PRACTITIONER CONCLUSION
What has been confirmed about eligibility, historical compliance, tax treatment, process, timing and continuing obligations?

MANAGEMENT DECISION AND CONDITIONS
Remain registered, apply after advice, defer or reassess. Record owners, funding, controls and the next review date.

DECISION RULE	Do not change VAT treatment until the registered practitioner’s conclusion and the formal SARS outcome are documented.